

IN THE HIGH COURT OF DELHI AT NEW DELHI

O.M.P.(I) (COMM.) 218 of 2025

Meridian Infra Projects Limited

... PETITIONER

VERSUS

Konkast Engineering & Construction Private Limited

... RESPONDENT

**PETITION UNDER SECTION 9 OF THE ARBITRATION AND CONCILIATION
ACT, 1996**

A. FACTS AND APPREHENSION OF ENCASHMENT

1. The Petitioner and Respondent are parties to an EPC Contract dated 20.05.2024 valued at Rs. 18,60,00,000, under Clause 9 of which the Respondent furnished Performance Bank Guarantee No. SBI/BG/2024/2217 for Rs. 1,86,00,000 (Annexure B-2).
2. Disputes have arisen between the parties regarding the certified value of RA Bill No. 7 and the delay in completion of the third substation. Arbitration has since been invoked, and a petition under Section 11(6) is pending consideration before this Hon'ble Court.
3. By its letter dated 05.09.2025 (Annexure B-3), the Respondent has disputed the Petitioner's certification of RA Bill No. 7 and has expressly reserved the right to invoke and encash Performance Bank Guarantee No. SBI/BG/2024/2217 in the event the disputed differential is not paid within seven days, notwithstanding that the underlying dispute is yet to be referred to and adjudicated by an arbitral tribunal.
4. The Petitioner apprehends that the Respondent intends to wrongfully invoke and encash the Performance Bank Guarantee despite the certified work far exceeding any conceivable shortfall, and despite the underlying dispute being one properly for adjudication in arbitration and not through unilateral encashment of an unconditional guarantee.
5. Unless restrained, encashment of the Bank Guarantee pending arbitration would cause irreparable prejudice to the Petitioner and render the arbitral process illusory, in that any award ultimately favouring the Petitioner would be rendered academic to the extent of the guarantee already encashed.
6. The balance of convenience lies in favour of the Petitioner, who is willing to abide by such conditions as this Hon'ble Court may impose, including maintaining its own financial records available for inspection pending the arbitration.

B. DETAILED PARTICULARS OF DEALINGS BETWEEN THE PARTIES

7. On 20.05.2024, ePC Contract executed for Rs. 18,60,00,000.
8. On 03.06.2024, advance payment of Rs. 3,72,00,000 released.
9. On 18.06.2024, performance Bank Guarantee SBI/BG/2024/2217 furnished.
10. On 10.11.2024, first two substations energised; RA Bill 1-4 certified.
11. On 05.03.2025, third substation work delayed; Non-Conformance recorded.
12. On 22.06.2025, claimant issues notice invoking arbitration under Clause 28.
13. On 30.07.2025, respondent fails to concur on arbitrator; S.11 petition filed before Delhi HC.

14. On 12.09.2025, delhi HC allows S.11 petition; Sole Arbitrator appointed.

PRAYER

- a. Restrain the Respondent from encashing Performance Bank Guarantee No. SBI/BG/2024/2217 pending constitution and disposal of the arbitral proceedings;
- b. Pass such further orders as this Hon'ble Court deems fit.

VERIFICATION

I, Neha Kohli, Vice President (Contracts), verify that the contents of this petition are true and correct.

Verified at New Delhi on this the 20th day of September, 2025.

For Meridian Infra Projects Limited
(Neha Kohli, Vice President (Contracts))
Mr. Rohan Kapadia, Advocate for the Claimant
Enrolment No. DEL/4471/2012

ANNEXURES TO THE PETITION

Annexure	Description
B-1	EPC Contract -- Clause 9 (Performance Security)
B-2	Performance Bank Guarantee SBI/BG/2024/2217
B-3	Respondent's Letter dated 05.09.2025

ANNEXURE B-1 -- EPC CONTRACT, CLAUSE 9 (PERFORMANCE SECURITY)

This EPC Contract is executed between Meridian Infra Projects Limited ("Owner") and Konkast Engineering & Construction Private Limited ("Contractor") for engineering, procurement and construction of four 33/11kV substations and associated transmission works at the Claimant's industrial park.

CLAUSE 9 -- PERFORMANCE SECURITY

The Contractor shall furnish an unconditional and irrevocable Performance Bank Guarantee equal to 10% of the Contract Value, valid for the Contract Period plus the Defects Liability Period, encashable by the Owner on certified default by the Contractor after notice.

ANNEXURE B-2 -- PERFORMANCE BANK GUARANTEE

PERFORMANCE BANK GUARANTEE

BG No.: SBI/BG/2024/2217
Issuing Bank: State Bank of India, Faridabad Branch
Value: Rs. 1,86,00,000
Validity: 18.06.2024 to 17.06.2027
Beneficiary: Meridian Infra Projects Limited
Applicant: Konkast Engineering & Construction Private Limited

In consideration of Meridian Infra Projects Limited ("the Owner") having agreed under the EPC Contract dated 20.05.2024 to accept a performance guarantee for Rs. 1,86,00,000 from Konkast Engineering & Construction Private Limited ("the Contractor"), we, State Bank of India, Faridabad Branch, hereby undertake to pay to the Owner, on first written demand and without demur, protest or reference to the Contractor, any sum up to but not exceeding Rs. 1,86,00,000 against any loss or damage caused to or suffered by the Owner by reason of any breach by the Contractor of the terms of the said Contract.

We undertake to pay the amount demanded on receipt of a written demand from the Owner stating that the amount claimed is due to it by reason of breach by the Contractor, without requiring the Owner to prove or show grounds for its demand. This guarantee shall remain in force from 18.06.2024 up to and including 17.06.2027, and any claim under this guarantee must be lodged with the Bank on or before that date, failing which our liability hereunder shall stand discharged.

For State Bank of India, Faridabad Branch
(Authorised Signatory)

ANNEXURE B-3 -- RESPONDENT'S LETTER DATED 05.09.2025

Ref. No.: KE/MIP/BILLING/2025/41

Date: 05.09.2025

To,
Meridian Infra Projects Limited
Tower B, DLF Cyber City, Gurugram - 122002, Haryana

Subject: RA Bill No. 7 -- Disputed Certification

Dear Sirs,

We refer to RA Bill No. 7 submitted by us and certified by your Engineer-in-Charge. We do not accept the certified value and maintain, on the basis of our own site measurement, that the correct value of work executed is Rs. 92,40,000.

We call upon you to release the differential amount within seven days of this letter, failing which we shall be constrained to invoke Performance Bank Guarantee No. SBI/BG/2024/2217 to recover the shortfall, without further reference to you.

This letter is issued without prejudice to our rights and contentions, all of which are expressly reserved.

Yours faithfully,

For Konkast Engineering & Construction Private Limited